



Cambridge O Level

ECONOMICS

Paper 1 Multiple Choice

2281/13

October/November 2021

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question **there** are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your **choice** in soft pencil on the multiple choice answer sheet.
- Follow the **instructions** on the multiple choice answer sheet.
- Write in soft pencil.
- Write your **name**, centre number and candidate number on the multiple choice answer sheet in the spaces **provided** unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You **may** use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

Solved by:-
Zarakh Mushtaq

This document has **12** pages. Any blank pages are indicated.

- 1 To help reduce the price of oil, new supplies are needed. However, objectors oppose exploration of new sites because of the environmental damage it may cause.

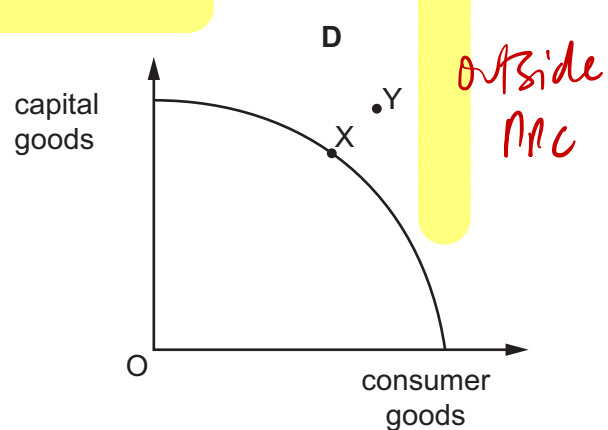
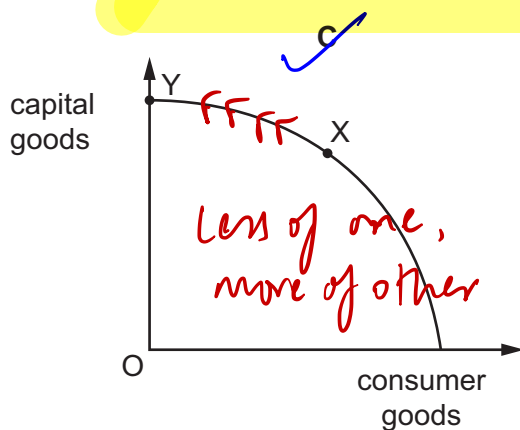
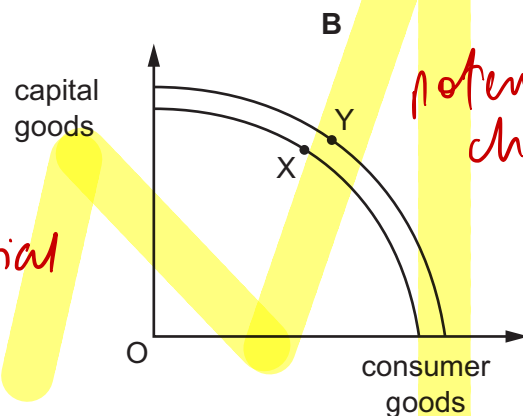
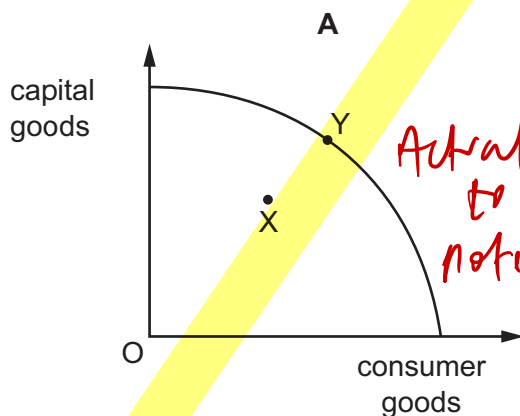
Why is this statement an example of the basic economic problem?

- ☒ A Oil is a limited resource.
- ☐ B Oil is expensive.
- ☐ C The exploration involves demand and supply.
- ☐ D There are external costs involved in production.

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2021
✓12

Movement along PPC

- 2 Which diagram shows an opportunity cost by movement from point X to point Y?



- 3 Helium is a gas that is limited in supply because it takes thousands of years to form. The US government holds 35% of the world's supply of helium and has been selling its stocks. Helium is essential in medical scanners. It is also used for party balloons, which is a wasteful alternative use of a valuable good.

Which two concepts apply to this statement?

- ☐ A demand and supply, government subsidy
- ☐ B excess demand, resource allocation
- ☒ C opportunity cost, private monopoly
- ☒ D public sector, factors of production

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✓12

4 What is an example of a public good?

- A healthcare (merit)
- ✓ B street lights (Non-rival, Non-excludable)
- C unemployment benefits (Transfer payments)
- D vaccinations (merit)

5 Why does a government provide certain goods and services in a mixed economic system?

- A The government always provides goods more cheaply than private firms. Not necessarily
- B The government considers only private costs and benefits. No, Externalities
- C The government provides goods to prevent the development of monopolies. Still they exist
- ✓ D The government provides public goods because private firms cannot charge for them.

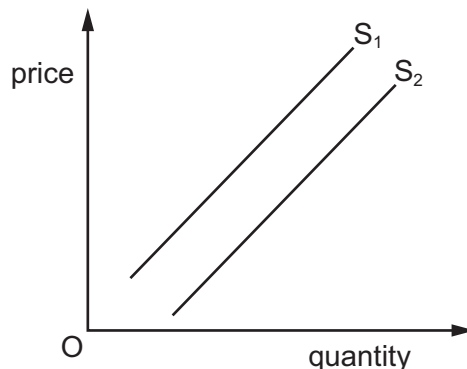
And they can't provide everything

↳ free rider problem

6 What is a microeconomic decision?

- A a central bank reducing interest rates macro (monetary)
- ✓ B a gas firm reducing its prices micro
- C a government increasing income tax macro (fiscal)
- D a government increasing the national minimum wage macro (economy)

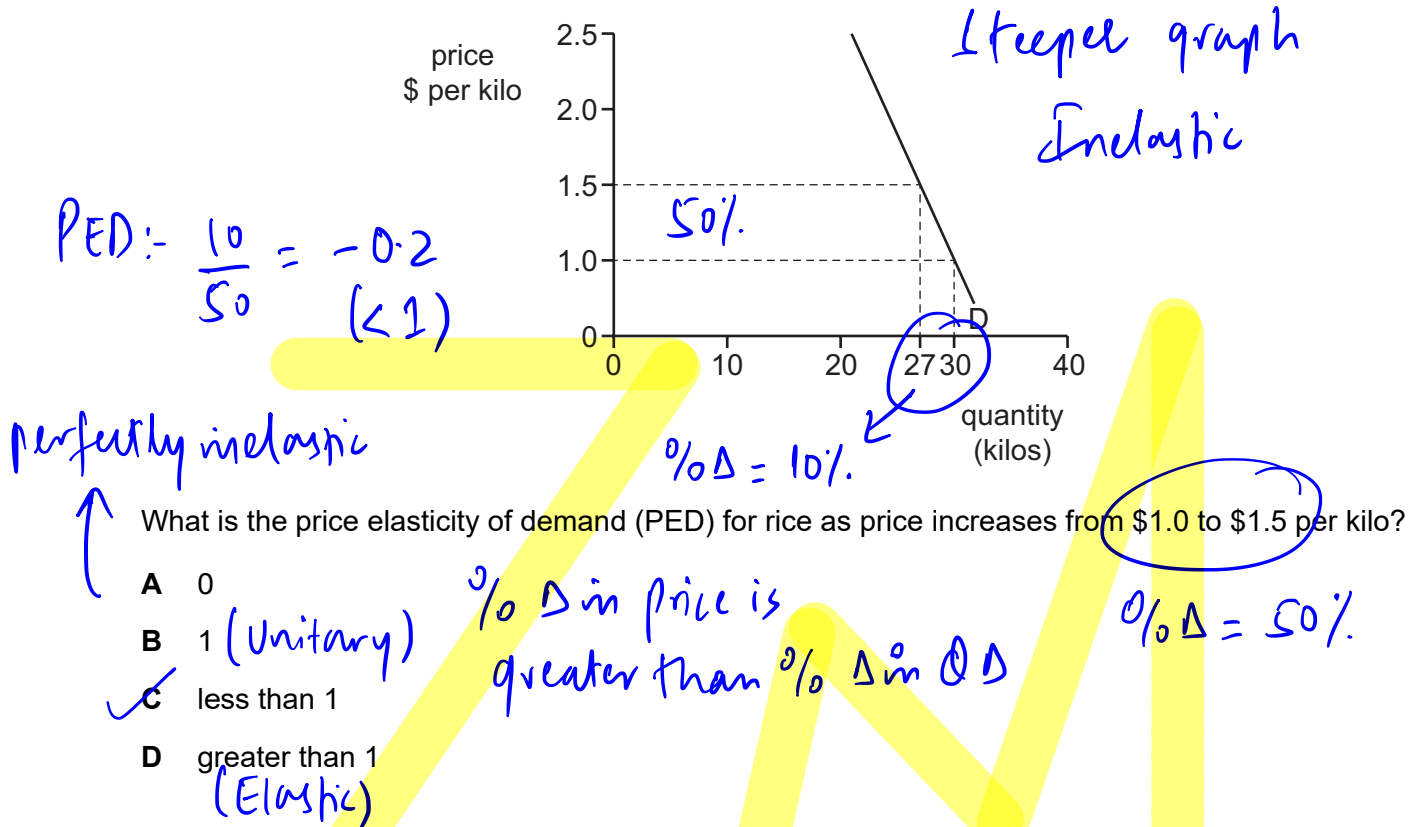
7 The diagram shows a shift in the supply curve for New Zealand's airlines from S_1 to S_2 .



What is the cause of this shift?

- ✓ A a decrease in the costs of New Zealand's airlines S ↑
- B a decrease in the number of people wanting to fly to New Zealand D ↓
- C an increase in the price of train and bus travel in New Zealand D ↑
- D an increase in the tax on air travel in New Zealand S ↓

- 8 The diagram shows the demand curve for rice.



- 9 The table shows the output of cakes from four bakeries, A–D.

Which bakery has the highest labour productivity? = $\frac{\text{Total output}}{\text{No. of labours}}$

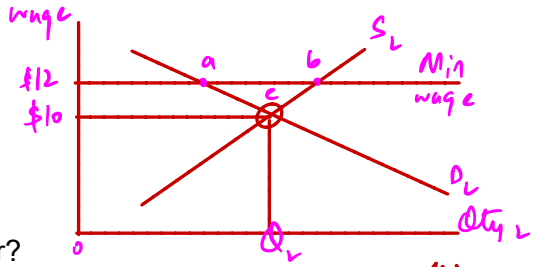
	labour (hours per day)	output (cakes per day)
A	10	40
B	40	640
C	50	750
D	100	500

4
16
15
5

- 10 What is an advantage of labour-intensive production and what is an advantage of capital-intensive production?

	labour-intensive	capital-intensive
A	each item can be individually made	average costs of production are low
B	keeps unemployment down	fixed costs are high → Through bank
C	workers have pride in the product	machinery may break down Disadvantage
D	workers have to work hard	there is a ready market for the product

general statement



- 11 The market equilibrium wage rate is \$10 per hour.

What explains why the wage rate actually paid is \$12 per hour?

- A Employers are competing for labour. *Even then equilibrium wage will be given*
 B The government sets a minimum wage of \$12 per hour. *Imposed above equilibrium*
 C There is a surplus of skilled labour. *Low wage*
 D Workers have received unpaid training. *nothing to link to wage*

- 12 A firm imports 20 high quality bicycles into the US at a cost of \$3000 each. It sells them all, making a profit of \$1000 per bicycle.

What is the firm's average revenue?

- A \$1000 B \$2000 C \$3000 D \$4000

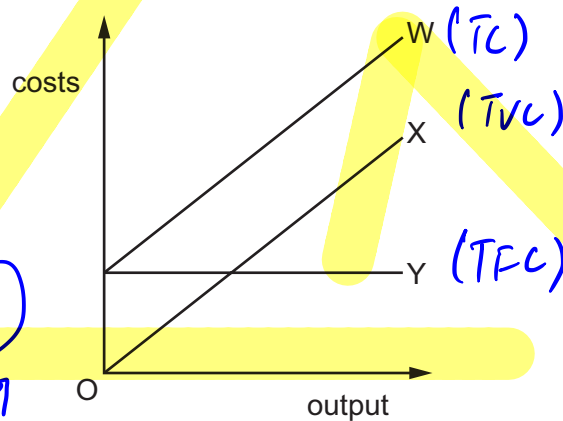
S.P after adding profit is 4000 (3000 + 1000)

- 13 The diagram shows total cost (TC), total fixed cost (TFC) and total variable cost (TVC).

Average revenue is per unit revenue, that is selling price.

$$AR = \frac{TR}{Q} = \frac{P \times Q}{Q} = P$$

AR = P



Which costs are shown by W, X and Y?

	W	X	Y
A	TC	TFC	TVC
B	TC	TVC	TFC
C	TFC	TC	TVC
D	TVC	TC	TFC

- 14 The table shows output and total cost of a firm with four production methods, A–D.

Which method causes diseconomies of scale as the firm expands production from 1000 to 3000 units?

$AC \uparrow$

	output (units)		
	1000	2000	3000
	total cost (\$)		
A	8000	10000	12000
B	8000	14000	27000
C	10000	16000	21000
D	10000	20000	30000

$$ATC = \frac{TC}{Q}$$

$AC \downarrow$

$AC \downarrow$ then $AC \uparrow$

$AC \downarrow$

AC constant

- 15 A clothing manufacturer expands by taking over a clothing retailer.

Vertical forward

Which type of merger is this?

A backward vertical

B conglomerate

☒ C forward vertical

D horizontal

- 16 Which economic situation exists when there are two consecutive quarters (six months) of negative economic growth?

A budget surplus Govt spending > Tax revenue, $AD \uparrow$

B current account deficit, depreciation, can raise AD

C inflation, growth occurs as economy moves to potential

☒ D recession Downturn or Downswing in economic cycle, real income $\downarrow$
Unemployment $\downarrow$, Income $\uparrow$, $c \uparrow$, $AD \uparrow$, $P \uparrow$

- 17 Why might measures to reduce unemployment also make inflation rise?

A They encourage cheap imports. no link

☒ B They increase demand.

C They reduce firms' costs.

D They require wages to fall.

Unemployment $\downarrow$, shortage of labour, wages $\uparrow$
wages rise

18 Which change affecting an economy's labour market promotes economic growth?

- A increasing trade union strike action *less productivity, less output*
 B lowering the age of retirement *S_L ↓*
 C reducing training of workers *S_L ↓*
 ✓ D removing immigration controls *More people working, labour ↑, potential ↑, productive capacity ↑, PPC shifts, economic growth*

19 The table shows a government's receipts from taxation.

	\$m
air passenger duty	10
tax on firms' profits	100
import duty	75
income tax	200
inheritance tax	50
sales tax (VAT)	300

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What is the total amount of revenue raised by indirect taxes?

- A \$300 m B \$350 m ✓ C \$385 m D \$435 m

20 Which statement relating to supply-side policies is correct?

- A They aim to increase aggregate demand. *Demand side*
 ✓ B They aim to increase the long-run capacity of the economy. *AS*
 C They aim to reduce cyclical unemployment. *Demand side*
 D They aim to work in the short term. *Demand side*

21 What is always indicated by an increase in the Consumer Prices Index (CPI)?

- A an increase in consumer spending in an economy
 B an increase in living standards
 ✓ C an increase in the average cost of living
 D an increase in the purchasing power of money

Rate of inflation

Teena nehngh hogayen

'Removed'

8

22. Due to an issue with Question 22, the question has been removed from the question paper.

23 Which combination of policy measures is **most** likely to increase the level of employment?

- ✓ A decrease general taxation and decrease the rate of interest
- B decrease general taxation and increase the rate of interest
- C increase general taxation and decrease the rate of interest
- D increase general taxation and increase the rate of interest

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✓ 12

24 What could reduce poverty?

- ✓ A greater economic growth, output ↑, Income ↑, Redistribution ↑
- B less spending on education → worsen's poor condition
- C more regressive taxation → Impact on poor
- D privatisation of hospitals → High price (Health) → worsen for poor

25 The table shows information about four countries, A–D.

Which country is **most** likely to have a falling population?

	access to a healthy diet	cost of bringing up children
A	falling ✓	falling
✓ B	falling ✓	rising ✓
C	rising	falling
D	rising	rising ✓

→ Bahe palna rehna
parh raha hai

→ Death
rate ↑

- 26 The table shows statistics for four countries, A–D.

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Which country has the lowest standard of living?

	average annual growth rate of population (%)	population density (per square kilometre)	life expectancy (years)	real GDP per head (\$)
A	1.9	19	46	190
B	2.7	2	58	1700
C	3.7	45	59	210
D	4.2	89	44	190

- 27 Malaysia and Indonesia specialise in the production of palm oil.

What is a disadvantage of specialisation?

A concentration of labour in the activity in which it is most productive

Advantage

B creation of jobs to meet world demand

Advantage

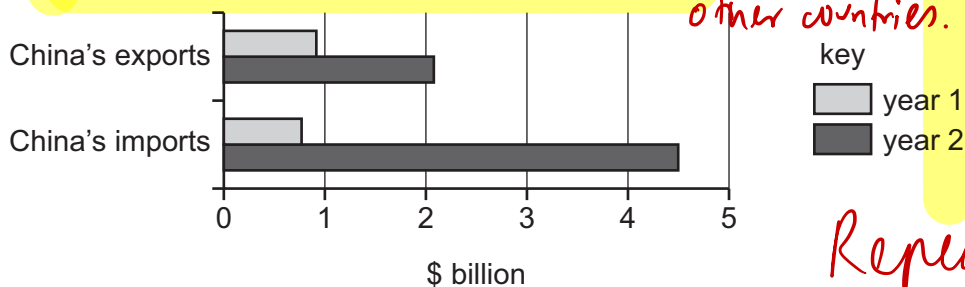
C reliance on trade with other countries for other goods

Since you are specialize in one industry or particular product, other products will be imported, and we will be dependent on other countries.

D rising palm oil prices

Advantage, greater TR.

- 28 The diagram shows China's trade with Brazil for two years.



Repeated

What happened to China's trade balance with Brazil between year 1 and year 2?

A It experienced a falling surplus.

B It experienced a rising deficit.

C It moved from deficit to surplus.

D It moved from surplus to deficit.

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29 What is a reason for trade protection?

☒ A to reduce a deficit on the current account of the balance of payments

☐ B to reduce a surplus on the current account of the balance of payments No

☐ C to reduce economic growth $M(IE) \downarrow, C \uparrow, AD \uparrow$

☐ D to reduce inflation $AD \uparrow$

30 What is an immediate effect for a country of a fall in its foreign exchange rate?

☐ A a fall in the money supply

☐ B an increase in purchasing power

☐ C cheaper imports

☒ D more competitive exports

10
→ protecting our industries
→ restricts $M(IE)$, Reducing deficit

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